



Protection for Sale in High-Income Countries

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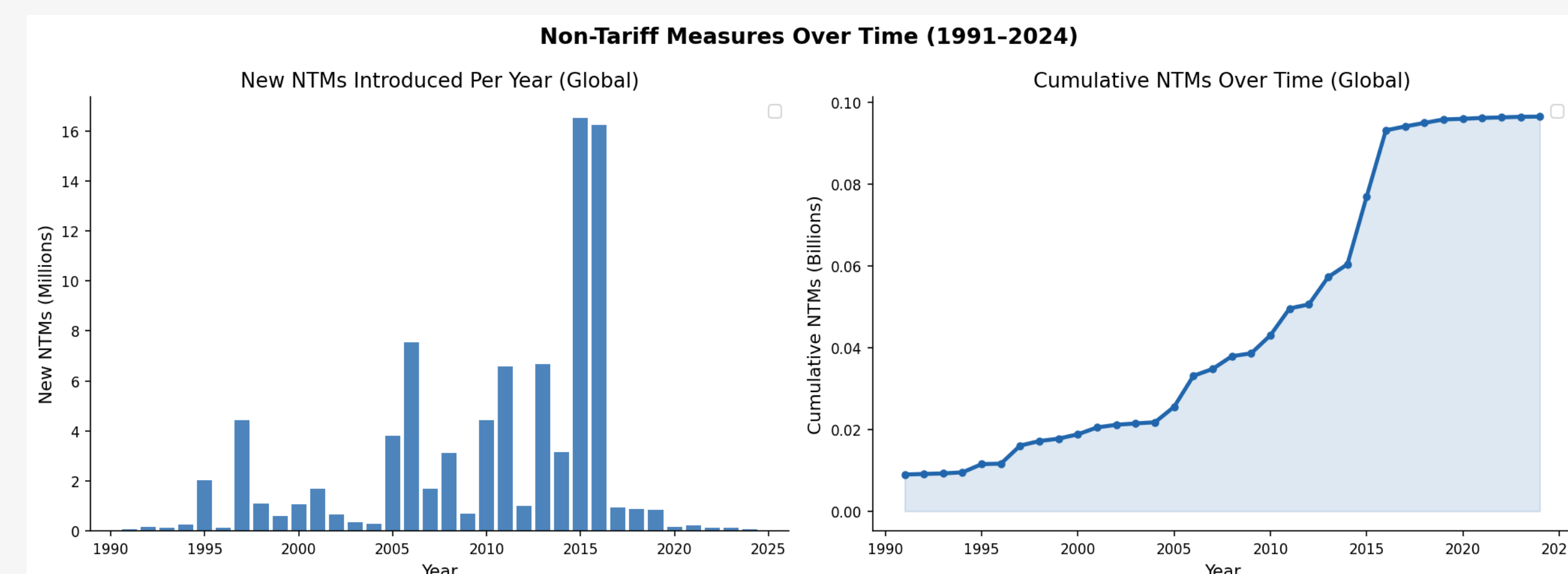


Introduction

Why do governments protect industries even in an era of globalization and free trade agreements? While tariffs have declined over time, protection has not disappeared. It has instead shifted toward Non-tariff measures such as regulations, standards, and quotas. These policies are often justified as necessary for public safety or market efficiency, but they may also reflect the influence of organized interest groups. This project explores whether trade associations, which represent concentrated industry interests, play a role in shaping these protectionist policies. Grounded in the Protection for Sale framework, it asks **whether higher levels of trade association density lead to increased use of Non-tariff measures in high income countries?**

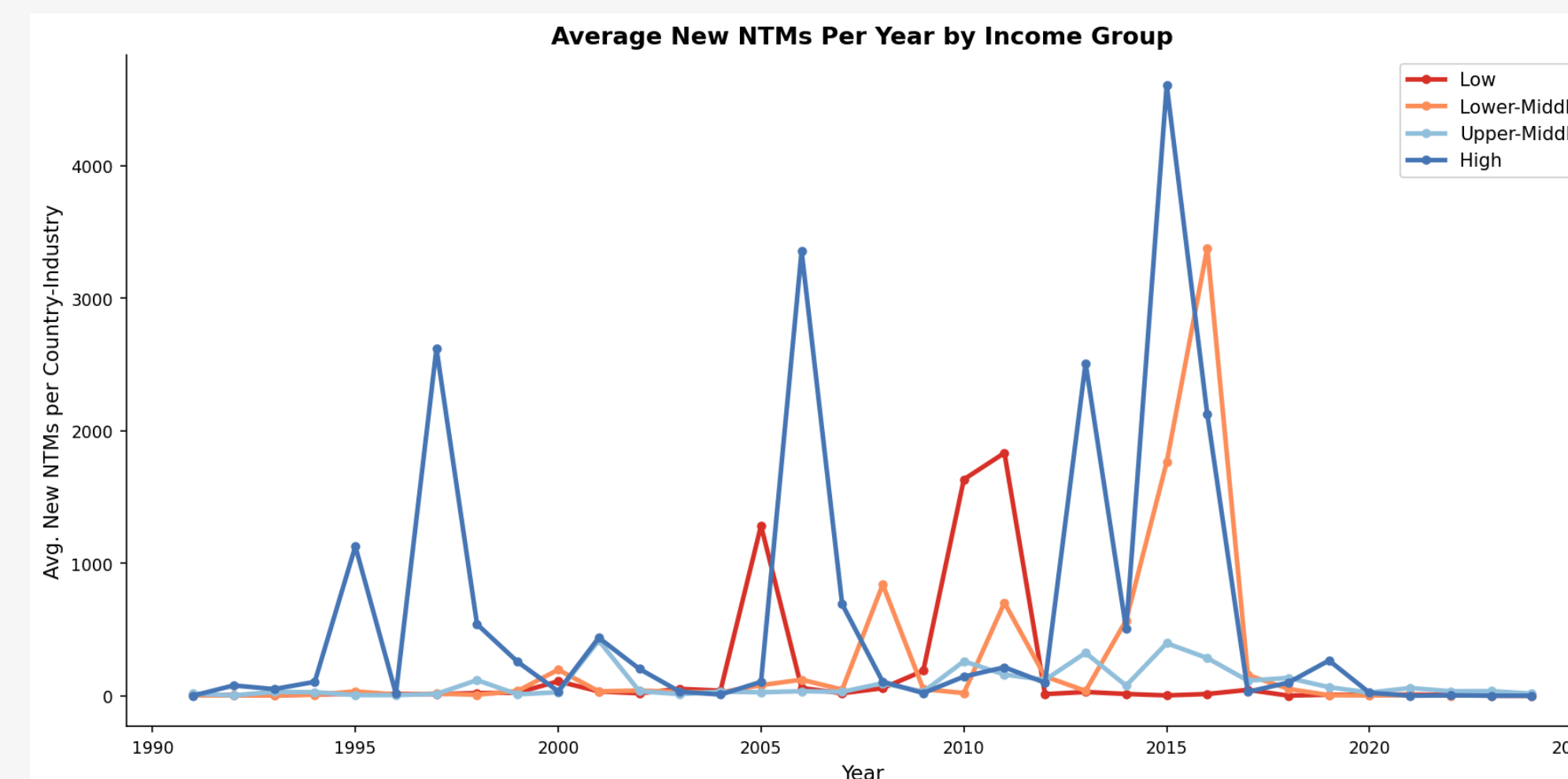
Data Source & Preparation

- WITS (World Bank): Non-tariff measure (NTM) data
- World Guide to Trade Associations: Trade association density
- UNIDO INDSTAT: Industry level data
- Data is harmonized using HS to ISIC crosswalks and transformed into a country industry panel

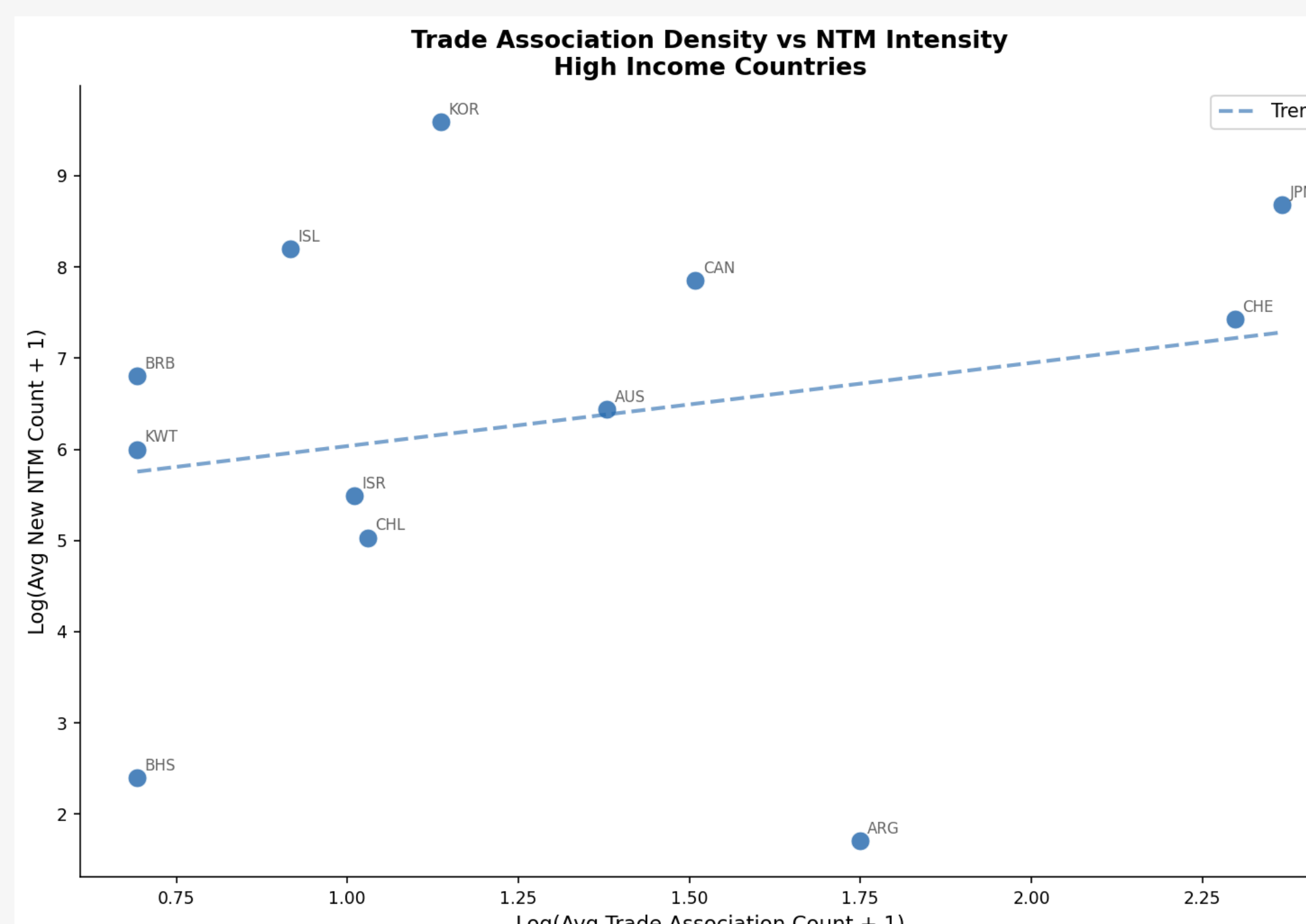


Methodology

- The analysis examines the relationship between trade association density and Non-tariff measure intensity using a structured approach.
- First, overall trends in NTMs and differences between high income and other countries are explored to provide context.

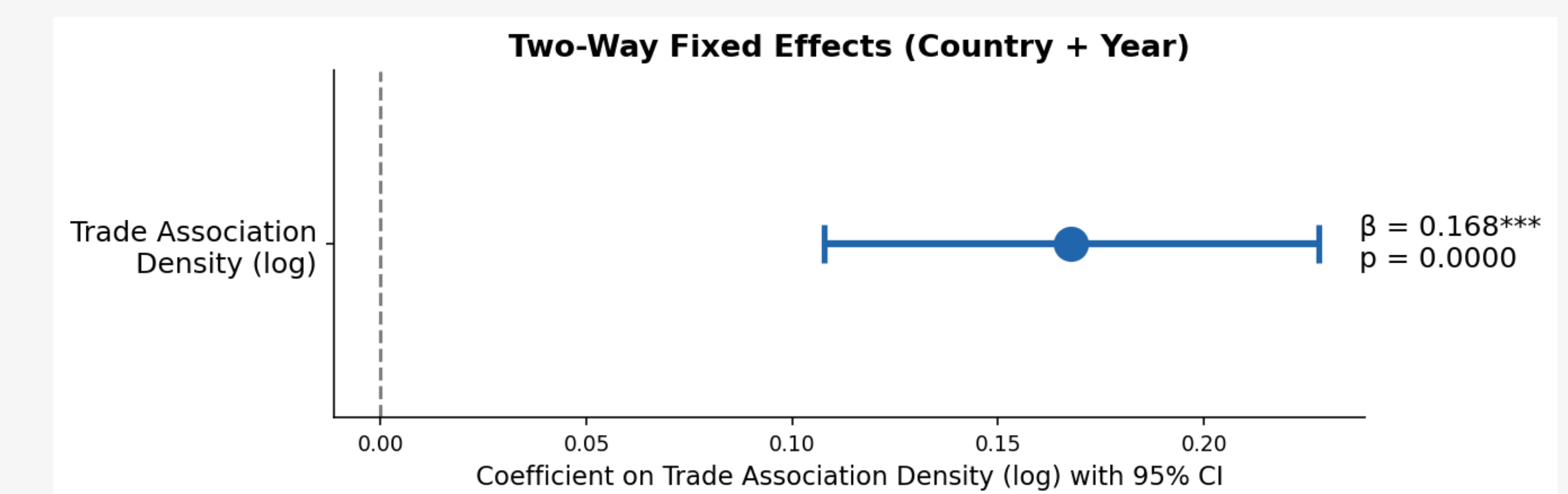


- Next, the relationship between trade association density and NTM intensity is analyzed to identify patterns.
- Finally, a two-way fixed effects regression model is used, controlling for country specific and time specific factors.



Results

The results show a clear and consistent positive relationship between trade association density and the use of NTMs. NTMs have increased over time, particularly after 2003, with high income countries showing the largest growth. Countries with higher trade association density tend to have higher NTM intensity. The main two-way fixed effects regression confirms this relationship, with a statistically significant coefficient ($\beta = 0.168$), indicating that **increases in trade association density are associated with higher NTMs** even after controlling for country and year effects.



Discussion

These findings support the Protection for Sale theory, showing a positive and statistically significant relationship between trade association density and Non-tariff measure intensity. The two-way fixed effects model indicates that higher trade association density is associated with increased NTMs, even after controlling for country and time effects, and descriptive trends show rising NTMs, especially in high income countries. However, the analysis has limitations, including measurement issues and potential endogeneity. Future research could use stronger causal methods and more detailed data.